



Government of India
Ministry of Commerce and Industry
Department for Promotion of Industry and Internal Trade

#startupindia

STARTUP INDIA KIT

Starter kit for budding entrepreneurs,
visionaries, and dreamers!



March 2023

About Startup India Kit

The Startup India Kit is a handbook to learn more about the benefits offered under the Startup India initiative and the process to avail them. The kit includes details about incentives such as market access support, **regulatory support, public procurement benefit, funding support, tax benefits, IPR support, amongst others.**

The kit also includes information about the Startup India online platform (www.startupindia.gov.in) which offers pro bono services, knowledge modules, details on government schemes, idea bank, active programs in addition to network of mentors, investors, incubators, accelerators, corporates, startups and aspiring entrepreneurs.



TABLE OF CONTENT

1

Startup India
Benefits

20

Startup India
Portal

28

What is a
Startup?

30

DPIIT -
Recognition

44

Glossary

47

Startup
Funding cycle

Startup India Benefits



Startup India Recognition

DPIIT-Recognised Startups Are Eligible For The Following Benefits:

- Intellectual Property Rights (IPR)
- Relaxation in Public Procurements Norms
- Self-Certification under Labour & Environment laws
- Fund of Funds for Startups (FFS)
- Credit Guarantee Scheme for Startups (CGSS)
- Startup India Seed Fund Scheme (SISFS)
- Faster Exit for Startups
- Angel tax exemption under Section (56)(2)(viib)
- Programs & Challenges on Startup India Website

DPIIT-Recognised Startups May Apply To Inter-Ministerial Board (IMB) For The Following Benefits:

- Section 80-IAC: Income Tax Exemption for 3 out of 10 years
- Section 54GB: Capital Gain on Transfer of Residential Property
- Section 79: Carry Forward and Set Off of Losses
- Sections 156, 191 and 192: Deferment of Tax Liability on ESOPs

Startup India Hub

Resources

Learning and Development Programs	Step-by-step guide to starting a business in India
Government Schemes	Centralised repository of entrepreneurship related government schemes for the startup and ecosystem enablers
State Startup Policies	Single point to access all notified startup policies by the respective state governments
Probono Services	Get free applications, cloud credits, legal, and banking support from key ecosystem partners
Knowledge Bank	A quick walkthrough on all things related to startups, including company registration, investor engagement, legal considerations, etc.
Tools And Templates	A repository of sample templates for all legal and HR documents, investor decks, deeds, contracts, etc.
Exclusive Innovation Programs	Apply for programs and challenges for cash grants, mentorship, pilot projects and various other opportunities across the globe
Networking	Connect with mentors, investors, incubators and other enablers on the portal
Idea Bank	Brainstorm innovative ideas for the listed problem statements on the website

Benefits of DPIIT-Recognition

1

Intellectual Property Rights (IPR)



To promote awareness and adoption of IPRs by startups and facilitate them in protecting and commercialising the IPRs, Startup India provides access to high-quality intellectual property services and resources, including:

Fast-tracking of startup patent applications

The patent application of startups is fast-tracked for examination and disposal. The process is much faster for DPIIT-recognised startups.

Panel of facilitators to assist in IP applications

Facilitators are responsible for providing general advisory on different IPRs, and information on protecting and promoting IPRs in other countries. Central Government bears the entire fees of the facilitators for any number of patents, trademark or designs, and startups only bear the cost of the statutory fees payable.



Want to protect your innovative idea? Scan the QR code to contact the IPR facilitators.



11,398

Applicants Received Fee Benefits¹



902

IPR Facilitators²



1. Data as of 31st March, 2023

2. Data as of 31st March, 2023

Rebate on filing of application

Startups are provided with an 80% rebate in filing of patents viz-a-viz other companies, bringing down the cost from INR 8,000 to INR 1,600. This helps them cut down on costs in their early years. 50% rebate is also provided in filing of trademarks viz-a-viz other companies decreasing the cost from INR 10,000 to INR 5,000.

The Scheme was run on a pilot basis initially and was in force up to 31-3-2020. The scheme is now being extended further for a period of three years. However, based on the experience gained from the implementation of the scheme so far, certain aspects of

the scheme have been amended. Following fees structure will be applicable to the empanelled facilitators, for any number of patents, trademarks or designs that may be applied for by a Startup. The facilitator shall not charge anything from the Startup or the entrepreneur, and this fees shall be paid directly to the facilitator by the Central Government through the office of the CGPDTM and disbursed by the respective IP office.

This structure may be revised from time to time by the Department for Promotion of Industry and Internal Trade.

Revised fee structure applicable from 02/11/2022 is as under:

(Figure in Rs.)*

Stage of Payment		Patent	Trademark	Design
At the time of filing of Application		15,000	3,000	3,000
At the time of final disposal of Application	Without Opposition	25,000	5,000	5,000
	With Opposition	35,000	10,000	10,000

2

Relaxation In Public Procurement Norms



Government of India has authorised its ministries, departments and public sector undertakings to relax norms in all public procurements. Startups are entitled to avail exemption on:

Prior Turnover | Prior Experience | Earnest Money Deposit

DPIIT-recognised startups can now get listed as sellers on the Government of India's largest e-procurement portal: Government e Marketplace.

Get recognised and visit <https://gem.gov.in/> to avail the benefits! "GeM Startup Runway" is a unique concept initiated by Government e Marketplace in

partnership with Startup India, to promote entrepreneurship through innovation. This program is an opportunity for agile and lean startups to reach out to the universe of Government buyers by offering products and services that are unique in concept, design, process, and functionality through the Startup Runway corner.

DPIIT-recognised startups can also become preferred bidders on CPPP portals, which sees over 2,00,000 tenders every year. Visit eprocure.gov.in and etenders.gov.in to know more about Government Department Procurement.

A grievance redressal form has

been hosted on the Startup India website where any DPIIT-recognized startup can submit their public procurement related grievance. The submitted application shall be reviewed, and if found valid will be resolved by DPIIT in co-ordination with relevant Government Departments.



18,035

DPIIT-recognised
startups registered
on GeM have made
sales worth INR
13,010.13Cr³



To know more about Public
procurement and access the
Grievance form, scan this QR
code

3. Data as of 31st March, 2023

3

Self-Certification Under Labour & Environment Laws



- Startups are allowed to self-certify their compliance under 9 Labour and 3 Environment Laws for a period of 3 to 5 years from the date of incorporation.
- In respect of 3 Environment laws, units operating under 36 white category industries (as published on the website of Central Pollution Control Board) do not require clearance under 3 Environment related Acts for 3 years.

- To reduce the regulatory burden on startups, thereby allowing them to focus on their core business and keep compliance costs low.



29 States

Offer Self-Certification to startups under 9 Labour Laws⁴



Scan this QR code to apply for Labour Law Certificate.

4

Faster Exit For Startups

Ministry of Corporate Affairs has notified Startups as 'fast track firms' enabling them to wind up operations within 90 days viz-a-viz 180 days for other companies. Startups with simple debt structures or those meeting such criteria as may be specified may be wound up within a period of 90 days from making of an application for winding up on a fast-track basis.



Tax Exemption

Startups incorporated on or after 1st April 2016 can apply for income tax exemption. The Inter-Ministerial Board validates the innovative nature of the business for granting Income Tax Benefits and is constituted by representatives from DPIIT, DBT, and DST.

1,169 Startups granted income tax exemption under Section 80-IAC of the Income Tax Act⁵

7,933 Cases which have received intimation regarding tax exemption under Section 56(2)(viib)⁶

5

Tax Exemption For 3 Years

The recognised startups that are granted an Inter-Ministerial Board Certificate are exempted from Income Tax for a period of 3 consecutive years out of 10 years since incorporation.

Startups incorporated on or after 1st April 2016 but before 1st April 2023 can apply for income tax exemption under Section 80-IAC of the Income Tax Act.

5. Data as of 31st March, 2023

6. Data as of 31st March, 2023

6

Exemption For The Purpose Of Clause (viib) Of Sub-Section (2) Of Section 56 Of The Income Tax Act

- A DPIIT-recognised startup is eligible for exemption from the provisions of section 56(2)(viib) of the Income Tax Act.
- The Startup has to file a duly signed declaration in Form 2 to DPIIT {as per notification no G.S.R.127(E)} to claim the exemption from the provisions of Section 56(2)(viib) of the Income Tax Act.



Scan this QR code to apply for tax exemption benefits.

New Amendments

Harmonisation Of Startup Definition

Department of Expenditure has harmonised the startup definition under the Manual for Procurement of Consultancy and other Services, 2017 with the definition of DPIIT notified dated 19th February 2019. The Manual for Procurement of Consultancy and other Services, 2017 now considers an entity as startup up to a period of 10 years viz-a-viz 5 years and turnover threshold has been revised from INR 25 crore to INR 100 crore. Furthermore, an entity recognised as startup by DPIIT shall now be eligible for benefit granted under Procurement purposes as against the requirement of obtaining eligible business certificate by the Inter-Ministerial Board.



For more information on the amendment, scan this QR code.

Patent Fees For Educational Institutions Reduced By 80 Per Cent

Startups are provided with an 80% rebate in filing of patents viz-a-viz other companies. The benefit of 80% rebate has now been extended to educational institutions as well. Educational institutions shall mean a university established or incorporated by or under Central Act, a Provincial Act, or a State Act, and includes any other educational institution as recognised by an authority designated by the Central Government or the State Government or the Union territories in this regard.



For more information on the amendment, scan this QR code.

Tax Incentives Have Been Extended For 1 More Year For Eligible Startups

Startups have emerged as drivers of growth for our economy. Over the past few years, the country has seen a manifold increase in successful startups. Eligible startups incorporated before 1st April 2023 had been provided a tax incentive for three consecutive years out of ten years from the date of incorporation. The Finance Bill 2023 extended the period of incorporation of the eligible startup by one more year, that is, up to 31st March 2024 for providing tax incentive.



For more information on the amendment, scan this QR code.

Relief to Startups in Carrying Forward and Setting Off of Losses

The Finance Bill 2023 has proposed a change that will have a significant impact on the Indian startup ecosystem. The amendment to Section 79 of the Income Tax Act, 1961, proposes to extend the period for eligible startups to carry forward and set off losses incurred in the first 10 years viz-a-viz 7 years of their incorporation. This change comes as a much-needed respite for startups who often face financial challenges in their initial years of operation.



For more information on the amendment, scan this QR code.

Reduction in Maximum Surcharge

The Finance Bill 2023 proposed a reduction in the effective tax rate from 42.7% to 39% for income above Rs. 2 crores under the new regime. This rate is capped at 25%, which will encourage investment in startups, promote direct investment by high-net worth individuals and venture capital firms, and boost the use of employee stock options by startups.



For more information on the amendment, scan this QR code.

Ease of Reporting Process in Single Master Form

The Reserve Bank of India (RBI) has simplified the reporting process for foreign investment in India through the introduction of the Single Master Form (SMF) on the Foreign Investment Reporting and Management System (FIRMS) portal. The simplified reporting process will make it easier for startups to attract foreign investment, as the process of bringing in foreign investment will become more streamlined and efficient. With the increase in flow of foreign investment startups will have greater access to capital to grow and develop their businesses. The Single Master Form will reduce the administrative burden on startups, allowing them to focus on their core business activities rather than spending time and resources on compliance and reporting requirements.



For more information on the amendment, scan this QR code.

7

Fund of Funds For Startups (FFS)

To provide equity funding support for development and growth of innovation driven enterprises, the government has set aside a corpus fund of INR 10,000 crores managed by SIDBI. The fund is in the nature of Fund of Funds, which means that the government participates in the capital of SEBI registered Venture Funds, who invest twice the amount in startups. The flow of funds is Government > SIDBI > Venture Capitals > Startups.



INR 7,979.95 Cr⁷

Committed to 99 AIFs with a total of INR 14,077 crores invested in 791 Startups



To contact the various AIFs for funding support, scan this QR code.

7. Data as of 31st March, 2023

Now the employment generation is not confined merely to government services or factories, with job seekers becoming job creators. We are proud of the hard work and innovative ideas of our youth!

SHRI PIYUSH GOYAL,

Hon'ble Minister of Commerce & Industry, Consumer Affairs,
Food & Public Distribution and Textiles, Government of India.
Leader of House in Rajya Sabha

8

Startup India Seed Fund Scheme (SISFS)

Department for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce and Industry is initiating Startup India Seed Fund Scheme (SISFS) with an outlay of INR 945 Crore. The scheme was announced by Hon'ble Prime Minister during Startup India International Summit "Prarambh" on 16th January 2021.

Startup India Seed Fund Scheme (SISFS) aims to provide financial assistance to startups for proof of concept, prototype development, product trials, market entry and commercialisation. This would enable these startups to graduate to a level where they will be able to raise investments from angel investors or venture capitalists or seek loans from commercial banks or financial institutions. The target of the scheme is to disburse the Seed Fund to 3600 startups through 300 incubators across India.



INR 590.3625 Cr⁸

Sanctioned to 155 incubators



To apply for Seed Fund Scheme, scan the QR code.

8. Data as of 31st March, 2023

Credit Guarantee Scheme for Startups (CGSS)

The Department for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce and Industry has notified the establishment of the Credit Guarantee Scheme for Startups (CGSS) for providing credit guarantees to loans extended by Scheduled Commercial Banks, Non-Banking Financial Companies and Securities and Exchange Board of India (SEBI) registered Alternative Investment Funds (AIFs).

CGSS is aimed at providing credit guarantees up to a specified limit against loans extended by Member Institutions (MIs) to finance eligible borrowers viz. startups as defined in the gazette notification issued by DPIIT and amended from time to time. The credit guarantee cover under the scheme would be transaction based and umbrella based. The exposure to individual cases would be capped at INR 10 crore per case or the actual outstanding credit amount, whichever is less. In respect of transaction-based guarantee cover, the guarantee cover is obtained by the MIs on single eligible borrower basis. Transaction based guarantees will promote lending by Banks/ NBFCs to eligible startups. The extent of transaction-based cover will be 80% of the amount in default if the original loan sanction amount is up to INR 3 crore, 75% of the amount in default if the original loan sanction amount is above INR 3 crore, and up to INR 5 crore, and 65% of the amount in default if the original loan sanction amount is above INR 5 crore (up to INR 10 crore per borrower).

The umbrella-based guarantee cover will provide guarantee to Venture Debt Funds (VDF) registered under AIF regulations of SEBI (a growing segment of funding in Indian startup ecosystem), in view of the nature of funds raised by them and debt funding provided by them. The extent of umbrella-based cover will be the actual losses or up to a maximum of 5% of Pooled Investment on which cover is being taken from the fund in eligible startups, whichever is lower, subject to a maximum of INR 10 crore per borrower.

Startup India Portal

Startup India provides probono services, knowledge modules, details on government schemes, idea bank, active programs for all startups and startup aspirants to help them scale faster, better, and stronger. Unlock access to a host of opportunities and benefits through Startup India website (www.startupindia.gov.in) to navigate your way through the competitive startup world.





6,31,507

USERS ON THE HUB



3,64,058

Evangelists and
Entrepreneurs



83

Investors



226

Accelerators/
Corporates



70

Government
Bodies



819

Mentors



926

Incubators



2,49,594

Startups



* Data as of 31st March, 2023

Learning and Development Programs

Start with an idea, end with a business plan! To guide budding entrepreneurs through the journey of their startup venture, Upgrad offers a free 4-week program on the key areas of starting up by 40+ top founders of India. Upon completion of the course, an acknowledgement certificate for the learnings in the program is also provided.



To start your free course today, scan this QR code.

Government Schemes

Many Government departments are working to promote entrepreneurship in India. Startup India has collated over 100 schemes which can be filtered by relevant departments and ministries for easy access.



To explore the various Government schemes, scan this QR code.

State's Startup Policies

Startup India presents to you a list of 30+ State Government policies¹⁰ that offer benefits to startups. Startups and entrepreneurs across these states can access the policy documents, website links, and contact details of the respective nodal agencies.



Scan this QR code to know more about these policies

Probono Services

In our endeavor to make starting up easy, we bring you the best of some relevant services out there in the market, free of cost. We have collaborated with leading corporates and startups and others to bring you these services. Whether you want to seek legal support, build an app, use cloud credits or get cloud telephony services, everything here is free of cost for you.



To explore the various Government schemes, scan this QR code.

Innovation Programs and Challenges

Startup India has been committed to working with various corporate and government departments that are scouting innovative startups. Startup India connects enablers such as corporate and government departments with unique and innovative startups in various sectors ranging from defense, agriculture to sustainability for mutually beneficial collaborations. Such challenges provide a unique opportunity for startups in terms of market access, opportunity, cash prizes, incubation/acceleration, mentorship, etc.



To apply for these programs, scan this QR code.



Tools and Templates

We have a wide range of templates ranging from lease agreements, employment contracts, deeds, NDAs, etc. freely available in multiple Indian languages that will allow the startups to focus on what is important to the business. You'll need less than 2 minutes to customise this for yourself using our document builder.



Scan this QR code to find access to these templates

Networking and Discussion

Members of the startup ecosystem such as startups, investors, mentors, incubators, accelerators, and government bodies can connect with each other on the online forum of the Startup India portal. The platform provides the ecosystem members with the opportunity to discuss, express and opine on the forum through discussion threads, blogs, and one-to-one messaging.



To join the discussion forum, scan the below QR code.

International Bridges

Startup India enables global market access and knowledge exchange for Indian startups through bilateral government collaborations. Commonly referred to as Startup Bridges, it enables startups, investors, incubators, accelerators and aspiring entrepreneurs of both countries to connect with one another by providing them with resources to expand and become globalised startups. Salient features include:



Knowledge Exchange

Comprehensive guides and toolkits that assist startups in both countries to evaluate expansion opportunities and technology transfers.



Networking Opportunities

Enable connections among startups, mentors, investors, and incubators in relevant sectors from both countries.



Hosting Joint Programs

From startup exchanges to innovation challenges, the portal is a one-stop-shop to host all ecosystem programs.



Capacity Building Platform

Get access and applications to events, competitions, and workshops in both countries followed by partnerships with co-working spaces and accelerators.



Portugal



Israel



Netherlands



Singapore



Sweden



United Kingdom



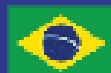
Japan



S.Korea



Russia



Brazil



Finland



Croatia



Canada



UAE



Qatar



Switzerland



To know more about these bridges, scan this QR code.

Startup India Showcase

Startup India Showcase is an online discovery platform for the most promising startups of the country. These innovations span across various cutting-edge sectors such as Fintech, Enterprise Tech, Social Impact, HealthTech, EdTech, among others. 150+ startups have been onboarded on the Startup India Showcase platform and received opportunities to be a part of the Expo 2020 Dubai, India-Sweden Innovation Day, and InFINITY Startup Exhibition, France.



To visit the innovative startups showcased in the platform, scan this QR code.

Blockchain-based Certificate Verification Platform

The Department for Promotion of Industry and Internal Trade (DPIIT) has launched a Blockchain-based Certificate Verification platform to enable instant access and verification of the certificates issued to recognised startups through the Startup India portal. The platform can be utilised by Government departments, PSUs, Banks, and Investors to verify the authenticity of the information submitted by startups. This platform is the first step towards introducing emerging technologies within existing government frameworks to transform traditional processes.



To generate the Block chain based certificate, scan the QR code

Idea Bank

Looking for an idea for your startup?

To guide the budding entrepreneurs through their startup journeys, Startup India has developed an idea bank highlighting some of the problems across varied sectors. This idea bank guides the startups to brainstorm innovative ideas to tackle the various problem statements listed on the website.



To explore the ideas in the idea bank, scan this QR code.

What is a Startup?



An entity shall be considered as a Startup:

- If it is incorporated as a private limited company (as defined in the Companies Act, 2013) or registered as a partnership firm (under section 59 of the Partnership Act, 1932) or a limited liability partnership (under the Limited Liability Partnership Act, 2008) in India.
- Up to ten years from the date of its incorporation/registration.
- If its turnover for any of the financial years since incorporation/registration has not exceeded INR 100 crore.
- If it is working towards innovation, development or improvement of products or processes or services, or if it is a scalable business model with a high potential of employment generation or wealth creation.
- Provided that any such entity formed by splitting up or reconstruction of a business already in existence shall not be considered a 'Startup'.
- To streamline the process of recognition of startups, the guidelines for recognition of Startups have been reformulated and supplemented in line with notification.

**"Never
dream of
becoming
something.
If you
dream,
dream
of doing
something!"**

SHRI NARENDRA MODI

Hon'ble Prime Minister of
India



To download
the recognition
guidelines, scan
this QR code.

DPIIT- Recognition



Get DPIIT-Recognised!

Startups can apply to get recognised by Department for Promotion of Industry and Internal Trade (DPIIT) to avail numerous benefits:*

89,000+

Startups recognised by DPIIT

47%

Recognised startups have atleast one women Director

665

Districts with atleast 1 recognised startup

9.2 Lacs

Jobs reported by 88,000+ DPIIT-Recognised Startups

Top 3 States

Maharashtra,
Karnataka, Delhi

Top 3 Sectors

IT Services, Healthcare
and Lifesciences,
Education

*Data as of 31st March, 2023

Get Recognised & Avail Benefits



STEP 01

Visit www.startupindia.gov.in



STEP 02

New User

Click on 'Register' and provide details OR Simply register using any of your social media accounts

Existing User

Login using your credentials (Go to step 4)



STEP 03

Provide OTP and other details like, startup as type of user, name and stage of the startup, etc.



Congratulations!
Your startup profile is created



STEP 04

Go to 'Get Recognised' directly (new users) OR



Dashboard > DPIIT Recognition (existing users)



STEP 05

On the 'Recognition Application Detail' page, click on 'View Details' under the Registration Details section



STEP 06

Fill up the 'Startup Recognition Form' and click on 'Submit'

What Do You Need?

- Incorporation/Registration Certificate
- Director details
- Patent and trademark details (optional)
- PAN Number
- A proof of concept (website link/video/pitch deck) for startups in Validation stage. For Early Traction and Scaling stage, it is necessary to provide a video or pitch deck in addition to a company website. Ideation stage startups are not mandated to submit a proof of concept.

No Requirement Of:

- Letter of Recommendations
- Sanction Letters
- Udyog Aadhar
- MSME Certificate
- GST Certificate

1 At idea Stage?

Simply apply without any proof of concept and get recognised. Update later when you reach validation/early traction/scaling stage.

2 Got funded or recognised?

Tell us by updating your proof of funding, awards, and recognitions received.

3 Applied for patent/ trademark?

Strengthen your application by providing us your patent, trademark, copyright, plant variety details.

Submit your application and it will be processed within 48-72 working hours

Startup India Marquee Programs

National Startup Awards (NSA)

The Department for Promotion of Industry and Internal Trade (DPIIT) had conceived the National Startup Awards to recognize and reward outstanding Startups. The National Startup Awards recognise exceptional startups across various categories that provide innovative solutions which lead to large-scale employment and sustainable economic development.

The first edition of the National Startup Awards was concluded in October 2020. 36 startups, 1 incubator, and 1 accelerator were recognised as winners in their respective categories. They were felicitated by the Hon'ble Minister for Commerce & Industry, Consumer Affairs, Food & Public Distribution and Textiles, Shri Piyush Goyal, on 06th October 2020.

As a successor to the first edition, National Startup Awards 2021 was launched on 21st December 2020 to reward outstanding startups and enablers that have demonstrated extraordinary impact on society. A total of 46 startups, across sectors and special categories, along with 1 incubator and 1 accelerator were recognised as winners of National Startup Awards 2021. They were felicitated by the Hon'ble Minister for Commerce & Industry, Consumer Affairs, Food & Public Distribution and Textiles, Shri Piyush Goyal, on 15th January 2022.

With two editions successfully concluded, the third edition of the coveted National Startup Awards was launched on 1st February 2022. In line with Azadi Ka Amrit Mahotsav, **National Startup Awards 2022** acknowledges startups and enablers who have been instrumental

in revolutionising the development story of India. Startups and enablers demonstrating exceptional capabilities not just in terms of financial gains but also for the measurable impact on society are being recognised by the third edition of National Startup Awards. In this third edition, 42 startups, 2 incubators, and 1 accelerator were recognised as winners in their respective categories.

The National Startup Awards is more than just an award. One of the key objectives of this award is to handhold the winners and finalists through a series of initiatives to holistically support them as they navigate towards greater success.



To know more about National Startup Awards, scan the QR code



State Ranking Framework (SRF)

The States' Startup Ranking is a yearly capacity building exercise created and released by DPIIT that evaluates all of India's States and Union Territories on their efforts to build an ecosystem conducive to startup growth. The exercise leverages the concept of competitive federalism to propel states to implement best practices, creating avenues for knowledge exchange as well as building capacities of various enablers which are pivotal to the ecosystem.

Launched in 2018, the States' Startup Ranking Framework aims to augment the startup ecosystem in the States and Union Territories across the country by focusing on initiatives and policies undertaken in respective jurisdictions. All SRF editions have been successful in defining Reform Areas and Action Points which have proved essential in providing regulatory, policy and economic support to startups and stakeholders of the ecosystem. The Framework has also introduced an effective Feedback Collection Mechanism from beneficiary startups and incubators present across states and Union Territories to share their experience in handholding and support that they have received from respective governments.



To know more about State Ranking Framework,
scan the QR code



Department of Promotion of Industry and Internal Trade (DPIIT) declared 16th January National Startup Day” to acknowledge and support the invaluable contribution of Indian entrepreneurs towards the growth of the country’s economy and to recognise India’s thriving entrepreneurial ecosystem.

To commemorate the initiative officially completing 7 years this year, the wave of entrepreneurship in India and the National Startup Day on 16th January 2023 – a weeklong celebration ‘Innovation Week’ was organised by DPIIT across the length and breadth of India. The Innovation Week witnessed participation from across the country, including emerging cities and states, in different formats – hybrid, offline and online. Ecosystem experts and enablers from across the nation joined us in varying capacities and contributed to the celebration of the special day.

Few of the initiatives taken during the week were: Industry focussed Webinars, Ministry Roundtable, MAARG Masterclass, ASCEND Sangam, Women for Startups workshop, partner events across 75 centres in India, and the National Startup Awards 2023.

“I see startups, technology, and innovation as exciting and effective instruments for India’s transformation”

SHRI NARENDRA MODI

Hon’ble Prime Minister of India

MAARG Portal

Startup India is focused on catalysing the startup culture and building a strong and inclusive ecosystem for innovation and entrepreneurship in India. In this context, the MAARG portal - Mentorship, Advisory, Assistance, Resilience and Growth, is launched to facilitate mentorship for startups across diverse sectors, functions, stages, geographies, and backgrounds. The MAARG platform aims to provide sector focused guidance, handholding, and support to startups throughout their lifecycle. It is a platform that facilitates intelligent matchmaking between the mentors and their respective mentees. It promotes an outcome-oriented mechanism that allows timely tracking of the mentor-mentee engagements.

Startups can now effectively connect with academicians, industry experts, successful founders, seasoned investors, and other experts from across the globe, through Artificial Intelligence (AI) based matchmaking, to get personalised guidance on growth and strategy. The key features of the portal include customisable mentorship programs for ecosystem enablers, cohort based programs, mobile-friendly user interface, recognition and incentives for contributing mentors, video and audio call options, etc.

As of January 2023, 690+ mentors from across the country and the globe are registered on the MAARG Portal.

To know more about MAARG, log in to- <https://maarg.startupindia.gov.in/>



To know more about MAARG Portal, scan the QR code

Women For Startups: Startup India State Workshops for Women Entrepreneurs

To cater to the unique challenges faced by women entrepreneurs across the country and ensure curated support to aspiring and existing women entrepreneurs, Startup India has launched the Women for Startups: Startup India State Workshops for Women Entrepreneurs. Under the program, physical workshops are being conducted for existing and aspiring women entrepreneurs across states and Union Territory in India. The workshops are primarily focused on capacity building, knowledge exchange, brand building and highlighting local women role models.

Additionally, identifying fundraising as a major challenge faced by women entrepreneurs, the workshops are especially geared towards building the capacity of women to drive funds for their startups. Each workshop therefore includes a mock-pitching opportunity for participants followed by exclusive feedback by ecosystem experts. Further, the workshops also facilitate creation of state-specific groups and networks of women entrepreneurs.

For more on the workshops and Startup India's efforts on women in the startup ecosystem

https://www.startupindia.gov.in/content/sih/en/women_entrepreneurs.html



To know more about State Ranking Framework, scan the QR code

StartupShala

StartupShala, the Startup India Accelerator Program is a unique initiative by Startup India. Startup India Accelerator Program, StartupShala, is a 3-month long accelerator program for early-stage startups to provide them access to knowledge, network, funds, or guidance required to scale up.

Each cohort of the program will be focussed on a particular sector, first one being clean-tech and 20 startups per cohort will be handpicked by experts through an open call for application. All shortlisted startups will be certified on successful completion of the program. We will have 2 sector-focused cohorts each year.

Key Highlights

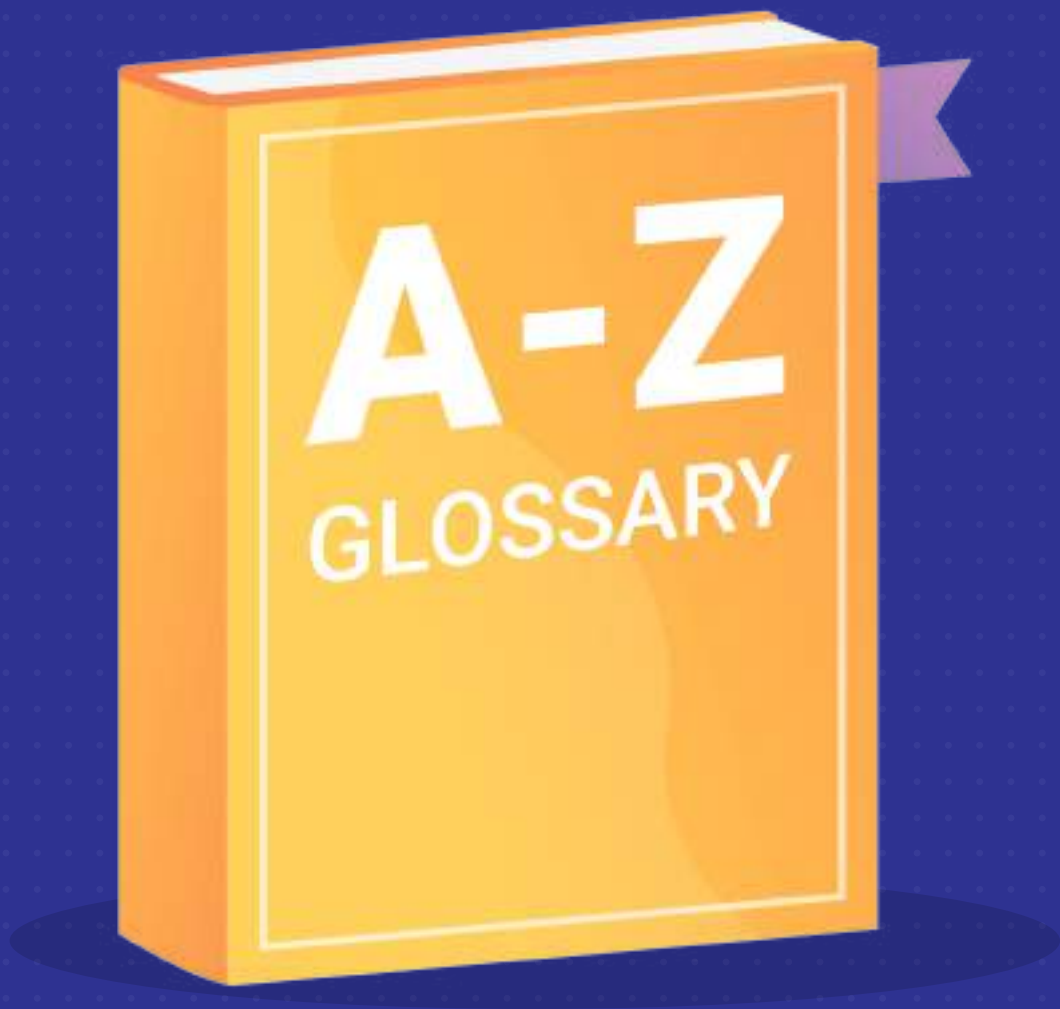
The highlights of the program to make it stand out:

- No equity/stake in the company.
- 12-15 hours of one-on-one mentorship per startup based on their domain. Working hands-on with mentorship on the challenges the startups are facing + 1 need-basis post-program review session.
- UPSCALE - unique shadow program with leaders of today so that you can become leaders of tomorrow.
- Startup India, DPIIT Certificate upon graduation along with a detailed evaluation report.
- 8 industry-oriented sessions with curriculum designed & taught by experienced enterprise entrepreneurs & experts on wide range of subjects such as product market fit, getting validation, preparation for fundraising and more. Short brainstorming exercise in each session as a take-away.

- Develop an essential set of C-suite leadership skills through targeted programs in cognitive, social and behavioral skills to enable entrepreneurs to succeed in the current VUCA world.
- Partners to help us with probono services & facilities like office space, lab access, memberships, mentorships, etc.
- Mock Pitching Marathon to help you perfect your pitch for the demo day. Opportunity to pitch and pilot with the best pool of investors, mentors, corporates and government departments providing startups with funding opportunity from marquee investor pool on demo day.
- Government connects on need-basis.
- Network with the pool of best entrepreneurs in the country.



Glossary



A

Accelerator

An accelerator is typically a 3–4-month program for startups at early traction and scaling stage. It is a process of intense, rapid, and immersive education aimed at accelerating the growth of the startup. The accelerator may take a set amount of seed equity from the startups in their cohorts in exchange for capital and mentorship.

Angel Group

An angel group is a network of angel investors who invest collectively in small startups or entrepreneurs. They typically invest in angel, seed, and sometimes Series A rounds.

Angel

Angel rounds are the first round that a company may go through. Angel investors, friends, and/or family may invest in an angel round to get a new company off the ground.

C

Convertible Note

It is a loan where an investor provides cash to a startup company, and the investor gets an option to convert the debt to equity in the company.

Co-working Space

A co-working space is a company that provides a shared working environment for teams working typically for different employees, in the same office.

I	Incubator An incubator is a workspace created to offer early-stage startups access to all resources they need under one roof. They provide office space, mentoring, business services, funding, and networking opportunities to the incubatees.	IPR The right of a person or a company to exclusively use its own plans, ideas, or other intangible assets without the worry of competition, at least for a specific period of time. These rights can include copyrights, patents, trademarks, and trade secrets. These rights may be enforced by a court.	
P	Product Crowdfunding A product crowdfunding round is where a company will provide its product in exchange to raise capital. This kind of round is also typically completed on a funding platform.		
S	Seed Funding Seed capital is the initial funding used to begin the creation of a business or a new product. Generally, seed capital is used to develop a business idea to the point that it can be presented effectively to venture capital firms that have large amounts of money to invest.		
T	Technology Transfer Office A product crowdfunding round is where a company will provide its product in exchange to raise capital. This kind of round is also typically completed on a funding platform.		
V	Venture Capital Venture Capital firms invest in startups at a later stage. Startups with a potential to grow, need a certain amount of investment. Wealthy investors like to invest their capital in such businesses with a long-term growth perspective. This capital is known as venture capital and the investors are called venture capitalists.		

Startup Funding Cycle



Stages And Sources

01

Pre-Seed

Working on ideas/prototypes.

Fund sources: Family, friends, grant, B-plan competitions, collateral-free debt.

02

Seed

Product/service launched in market

Fund Sources: Angel investors, pitching competitions, collateral-free debt.

03

Series A

Product/service gaining market traction

Fund Sources: Venture funds, bank loan.

04

Series B,C

New consumers and rapidly increasing revenues

Fund Sources: Private Equity firms, Investment firms, Venture funds

05

IPO

Established customer base and stable revenues

Fund sources: Stock market, acquisition by larger corporations



To know more about funding, scan the QR code



सत्यमेव जयते

Government of India
Ministry of Commerce and Industry
Department for Promotion of Industry and Internal Trade

#startupindia

We understand that the journey of an entrepreneur is filled with stumbling blocks and challenges. To ease your startup experience, we are eager to assist you through a query resolution system.



To see a list of frequently asked questions: scan this QR code.

Please feel free to call us on 1800115565 or drop us an email at dipp-startups@nic.in for any query, concern or suggestion!